Reliance Industries Limited — Q2 FY25 Financial Disclosures & Notes

Quarter Ended September 30, 2024 | Consolidated Financial Report

1. Executive Summary & Segment Performance

Reliance Industries Limited (RIL) reported consolidated revenue of INR 2,35,481 crore for Q2 FY25, relatively flat (-0.2% YoY), as strong momentum in Consumer businesses (Jio and Retail) offset weakness in the Oil-to-Chemicals (O2C) downstream refining segment. Consolidated EBITDA stood at INR 43,934 crore, down 4.7% YoY due to sharp contraction in global fuel cracks and petrochemical margins.

Segment	Revenue (INR Cr)	EBITDA (INR Cr)	EBITDA Margin (%)	YoY Commentary
Jio Platforms	31,709	15,931	50.2%	+17.8% YoY EBITDA; tariff hike benefit
Reliance Retail	75,378	5,850	7.8%	+1.0% YoY EBITDA; store rationalization
Oil to Chemicals (O2C)	1,24,336	12,413	10.0%	-23.7% YoY; weak refining margins
Oil & Gas (Upstream)	6,222	5,290	85.0%	+11.0% YoY; KG D6 gas volumes

2. Capital Expenditure, Debt and Cash Flows

Capital expenditure for the quarter was INR 34,022 crore, directed towards 5G rollouts, retail store expansion, and new energy giga-factories at Jamnagar. Gross debt as of September 30, 2024 stood at INR 3,36,337 crore. Cash and cash equivalents were INR 2,19,821 crore, resulting in Net Debt of INR 1,16,516 crore. Net Debt-to-EBITDA remains comfortable at 0.68x.

Narrative vs Numbers — Guidance Evaluation:

Management had previously guided for peak 5G capex tapering off by FY25. The numbers confirm this trend, with quarterly telecom capex declining from INR 18,000 crore to INR 12,500 crore. However, retail space addition has moderated due to rationalization of non-performing stores, conflicting with earlier aggressive floor-area guidance. New Energy giga-factories (solar PV and battery energy storage) remain on track for commissioning by end of CY25.

Bull vs Bear Perspective:

Bull Case: Jio tariff hikes driving sustained ARPU expansion (ARPU reached INR 195.1); upcoming potential IPOs of Jio Platforms and Reliance Retail; tapering capex leading to free cash flow generation; world-class integrated scale.

Bear Case: Structural headwind in O2C refining margins amidst Chinese capacity additions; large gross debt burden requiring continuous refinancing; high working capital intensity in retail inventory; prolonged gestation for new green energy investments.